

COVER SHEET

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(SEC Registration Number)

D I S C O V E R Y W O R L D C O R P O R A T I O N a n d
S U B S I D I A R I E S

(Company's Full Name)

S T A T I O N 1 B A L A B A G , B O R A C A Y I S L A N D
M A L A Y , A K L A N

(Business Address: No. Street City/Town/Province)

Valerie C. Villanueva

(Contact Person)

632-88138857

(Company Telephone Number)

1 2

Month

3 1

Day

(Fiscal Year)

1 7 Q

(Form Type)

Month

Day

(Annual Meeting)

N / A

(Secondary License Type, if Applicable)

Dept. Requiring this Doc.

Amended Articles Number/ Section

Total No. of Stockholders

Total Amount of Borrowings

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

Remarks: Please use BLACK ink for scanning purposes.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE
17(2)(B) THEREUNDER

1. For the quarterly ended September 30, 2025
2. SEC Identification Number AS93000023
3. BIR Tax Identification No. 003-822-183-000
4. DISCOVERY WORLD CORPORATION
Exact name of issuer as specified in its charter
5. Philippines
Province, country or other jurisdiction of incorporation
6. Industry Classification Code: (SEC Use Only)
7. Station 1, Balabag, Malay, Aklan 5608
Address of principal office Postal Code
8. (+632) 8813-8859; (+632) 8812-5453
Issuer's telephone number, including area code

9. Not applicable
Former name or former address, if changed since last report

10. Securities registered pursuant to Sections 8 and 12 of the SRC or Sections 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
Common	854,000,000

11. Are any or all these securities listed on a Stock Exchange

Yes [x] No []

Name of Stock Exchange: Philippine Stock Exchange

Class of securities listed:

Common

12. Check whether the issuer:

required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11 (a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports):

Yes [☒] No [☐]

(b) has been subject to such filing requirements for the past ninety days (90) days

Yes [☒] No [☐]

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned hereunto duly authorized.

DISCOVERY WORLD CORPORATION

Issuer

By:



LESLIE ANN T. YAPKIANWEE

Treasurer



IRENE J. BUBAN

Comptroller

November 12, 2025

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DISCOVERY WORLD CORPORATION AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	September 30, 2025 Unaudited	December 31, 2024 Audited
ASSETS		
Cash and cash equivalents	139,790,446	174,048,117
Accounts and other receivables	93,632,552	110,298,267
Due from related parties	15,757,217	7,646,590
Inventories	45,682,550	44,943,866
Input value-added tax (VAT)	164,242,432	137,667,287
Other current assets	111,347,331	88,093,645
Total Current Assets	570,452,528	562,697,772
Noncurrent Assets		
Property and equipment	9,880,749,221	9,831,272,965
Investment properties	1,195,034,988	1,195,034,988
Financial assets at fair value through other comprehensive income (FVOCI)	370,395,310	370,395,310
Goodwill	130,041,512	130,041,512
Net deferred tax assets	68,278,765	68,278,765
Other noncurrent assets	916,495,981	699,648,462
Total Noncurrent Assets	12,560,995,777	12,294,672,002
	13,131,448,305	12,857,369,774
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts and other payables	865,372,830	789,092,157
Due to related parties	9,533,091	9,589,091
Current portion of:		
Loans payable	1,349,884,475	1,435,836,319
Lease liabilities	5,494,159	4,661,091
Total Current Liabilities	2,230,284,555	2,239,178,658
Noncurrent Liabilities		
Noncurrent portion of:		
Loans payable	3,249,414,086	2,697,138,950
Lease liabilities	24,484,298	28,302,823
Due to related parties	1,106,720,735	1,076,776,214
Net retirement benefit liability	52,470,823	53,778,562
Security deposits	6,433,086	6,251,527
Net deferred tax liabilities	1,444,582,211	1,444,582,211
Total Noncurrent Liabilities	5,884,105,239	5,306,830,287
Total Liabilities	8,114,389,794	7,546,008,945
EQUITY		
Capital Stock	854,000,000	854,000,000
Additional paid-in capital	505,538,678	505,538,678
Retained Earnings (deficit)	(926,676,361)	(632,374,043)
Other equity reserves	4,584,196,194	4,584,196,194
Total Equity	5,017,058,511	5,311,360,829
	13,131,448,305	12,857,369,774

See accompanying Notes to Unaudited Interim Consolidated Financial Statements

DISCOVERY WORLD CORPORATION AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
For the three months and nine months ended September 30, 2025 and September 30, 2024

	2025 - Unaudited		2024 - Unaudited	
	July 1 to September 30	January 1 to September 30	July 1 to September 30	January 1 to September 30
REVENUES				
Rooms	96,083,635	508,264,777	113,866,081	536,934,131
Food, beverages and others	25,504,783	142,138,723	42,859,405	150,972,158
Management, incentive and allied services income	17,289,924	55,657,183	11,969,239	39,866,892
Rentals	3,820,218	17,332,533	4,707,135	14,813,548
Others	4,301,260	13,407,988	11,771,372	30,742,179
	146,999,820	736,801,204	185,173,232	773,328,908
COST OF SALES AND SERVICES				
Cost of services	68,608,918	364,751,305	110,896,769	371,045,279
Cost of food, beverages and others	64,512,850	107,507,139	26,472,684	83,528,237
	133,121,768	472,258,444	137,369,453	454,573,516
GROSS PROFIT	13,878,052	264,542,760	47,803,779	318,755,392
OPERATING EXPENSES				
Administrative expenses	90,249,927	277,768,688	97,433,211	281,458,940
Selling and marketing expenses	7,891,057	24,286,915	7,076,912	22,140,836
	98,140,984	302,055,603	104,510,123	303,599,776
OPERATING INCOME (LOSS)	(84,262,932)	(37,512,843)	(56,706,344)	15,155,616
OTHER INCOME (CHARGES)				
Finance costs	(63,237,127)	(198,298,654)	(64,240,415)	(193,667,721)
Finance income	670,352	1,016,310	(903,090)	272,685
Others	(65,124,321)	(59,507,132)	1,413,947	7,675,149
	(127,691,096)	(256,789,476)	(63,729,558)	(185,719,887)
LOSS BEFORE INCOME TAX	(211,954,028)	(294,302,319)	(120,435,902)	(170,564,271)
INCOME TAX EXPENSE	-	-	-	-
NET LOSS	(211,954,028)	(294,302,319)	(120,435,902)	(170,564,271)
OTHER COMPREHENSIVE INCOME (LOSS)	-	-	-	-
TOTAL COMPREHENSIVE LOSS	(211,954,028)	(294,302,319)	(120,435,902)	(170,564,271)

See accompanying Notes to Unaudited Interim Consolidated Financial Statements

DISCOVERY WORLD CORPORATION AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Nine Months Ended September 30,	
	2025	2024
CAPITAL STOCK	854,000,000	854,000,000
ADDITIONAL PAID-IN CAPITAL	505,538,678	505,538,678
RETAINED EARNINGS (DEFICIT)		
Balance at beginning	(632,374,043)	(350,383,414)
Net loss	(294,302,319)	(170,564,271)
Balance at end	(926,676,362)	(520,947,685)
OTHER EQUITY RESERVES	4,584,196,194	4,581,235,530
	5,017,058,510	5,419,826,523

See accompanying Notes to Unaudited Interim Consolidated Financial Statements

DISCOVERY WORLD CORPORATION AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS

	Nine month Months Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	(294,302,319)	(170,564,271)
Adjustments for:		
Depreciation and amortization	108,710,780	91,144,195
Finance costs	198,298,654	193,667,721
Finance income	(1,016,310)	(272,685)
Operating profit before working capital changes	11,690,805	113,974,960
Decrease (increase) in:		
Trade and other receivables	16,665,715	27,516,029
Inventories	(738,684)	(5,870,586)
Input tax	(26,575,145)	(9,418,052)
Other current assets	(23,253,686)	(31,177,645)
Increase (decrease) in:		
Trade and other payables	76,280,670	157,179,481
Security deposit	181,559	(56,013)
Net cash generated from operations	54,251,234	252,148,174
Interest received	1,016,310	272,685
Contributions paid	(1,307,739)	(843,236)
Net cash provided by (used in) operating activities	53,959,805	251,577,623
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisitions of property and equipment	(157,973,297)	(158,131,884)
Decrease (increase) in other noncurrent assets	(216,847,519)	(214,095,441)
Net cash used in investing activities	(374,820,816)	(372,227,325)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from:		
Loans	1,172,491,535	838,645,000
Additional due to related parties	29,944,521	-
Payments of:		
Loans payable	(706,168,243)	(363,718,333)
Lease liabilities	(2,985,457)	(2,407,634)
Interest paid	(198,512,389)	(187,087,982)
Decrease(increase) in due from related parties	(8,110,627)	(10,790,322)
Increase(decrease) in due to related parties	(56,000)	(142,858,037)
Net cash provided (used) by financing activities	286,603,340	131,782,692
NET DECREASE IN CASH AND CASH EQUIVALENTS	(34,257,671)	11,132,990
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	174,048,117	102,911,178
CASH AND CASH EQUIVALENTS AT THE END OF PERIOD	139,790,446	114,044,168

See accompanying Notes to Unaudited Interim Consolidated Financial Statements

DISCOVERY WORLD CORPORATION AND SUBSIDIARIES
NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Discovery World Corporation (DWC or the Parent Company) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on January 5, 1993. The Parent Company's common shares are listed for trading in the Philippine Stock Exchange (PSE).

The Parent Company is organized to engage in developing, building, owning, possessing, using, operating, managing, marketing and maintaining hotels, restaurants, inns, apartments, cocktail bars, resorts and any other allied businesses as may be necessary in connection therewith, including the operation of transportation or shuttle services for tourists in all its various forms. The Parent Company presently operates Discovery Shores Boracay, a resort located in Boracay Island, Malay, Aklan. The Parent Company also operates under the business names "Discovery Boracay", "Discovery Shores", "PlatitosResto-Bar", "Sands Lounge", "Indigo Resto-Bar", "Sunken Pool Bar", "FornoOsteria", "Estate XI" and "360 Roof Lounge". On August 23, 2023, the SEC approved to include owning, developing, leasing, selling, assigning, transferring and operating hotels, residential subdivisions and condominiums to be included on its primary purpose.

DWC is a subsidiary of JTKC Equities, Inc. (JEI or the Ultimate Parent Company). JEI is a holding company with investments in various companies in the real estate business, particularly in the leisure and hospitality sector.

The consolidated financial statements include the Parent Company and its subsidiaries (collectively referred herein as "the Group").

Subsidiaries	Nature of Business	Country of Incorporation	Effective % of Ownership	
			2023	2023
Euro-Pacific Resorts Inc. (EPRI)	Hotel and resort management and real estate activities	Philippines	100%	100%
Discovery Fleet Corporation (DFC)	Transportation services and real estate activities	Philippines	100%	100%
Cay Islands Corporation (CIC)	Real estate activities and hotel and resort management	Philippines	100%	100%
Palawan Cove Corporation (PCC)	Hotel and resort management	Philippines	100%	100%
Sonoran Corporation (SC)	Hotel and resort management	Philippines	100%	100%
Long Beach Property Holdings, Inc. (LBPHI)	Hotel and resort management	Philippines	100%	100%
Lucky Cloud 9 Resort, Inc. (LCRI)	Hotel and resort management	Philippines	100%	100%
Balay Holdings, Inc. (BHI)	Property leasing	Philippines	100%	100%
Discovery Hospitality Corporation (DHC)	Management services	Philippines	100%	100%
One Davao Townships Corporation (ODTC)	Real estate	Philippines	100%	100%
Viper Holdings Corporation (VHC)	Holdings and investment	Philippines	100%	-

EPRI presently operates Club Paradise, a first-class hotel and beach in Dimakya Island, Coron, Palawan. EPRI is doing business under the names and styles of “Club Paradise, Ocean Restaurant, Beach Street, Shark Bar, Dugong Bar and Glow Spa”.

DFC operates cruises ships named “Discovery Palawan”. DFC also operates a dive shop in Club Paradise. DFC also operates a dive shop in Club Paradise, Palawan.

CIC is currently operates “The Shoppes”, which is engaged in leasing of retail outlets, and is currently constructing “Kip & Kin”, a hotel and hostel development both located in Vanilla Beach. El Nido, Palawan

DHC provides management services to customers in the hospitality industry.

PCC, SC, LBPHI, LCRI and BHI are still in pre-development stages.

ODTC is still in its planning and permitting stage.

VHC is in its planning stage of providing DWC Group of the solar power equipment and technology related to solar panels and solar inverter.

Registered Address

The principal places of business of the subsidiaries are as follows:

Subsidiary	Registered Address
EPRI	Dimakya, Coron, Palawan
PCC	SitioPulangBato, Boayan Island, San Vicente, Palawan
DFC	No. 1 Dimakya Island, Coron, Palawan
CIC	Vanilla Beach, El Nido, Palawan
SC	Beckel Road, Barangay Beckel La Trinidad, Benguet
LBPHI	Barangay CorongCorong, Marimegmeg El Nido, Palawan
LCRI	Tuason Point, General Luna, Siargao
BHI	SitioHagdan, Brgy. Yapak, Malay , Aklan
DHC	Station 1, Balabag, Malay Aklan
ODTC	The Shrine MatinaMatina Crossing Talomo District, Davao City, Davao del Sur
VHC	Beckel Road, Barangay Beckel La Trinidad, Benguet

The Parent Company’s registered office address, which is also its principal place of business, is Station 1, Balabag, Malay, Aklan. The registered office of the Ultimate Parent Company is located at Beckel Road, Barangay Beckel, La Trinidad, Benguet.

2. Summary of Significant Accounting Policies

Basis of Preparation

The consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) issued by the Philippine Financial Reporting Standards Council and adopted by the SEC. This financial reporting framework includes PFRS, Philippine Accounting

Standards (PAS), Philippine interpretations from International Financial Reporting Interpretations Committee (IFRIC) and SEC provisions.

Measurement Bases

The consolidated financial statements are presented in Philippine Peso, the Group's functional currency. All values represent absolute amounts unless otherwise stated.

The consolidated financial statements of the Group have been prepared on the historical cost basis of accounting, except for investment in preferred shares of Sterling Bank of Asia (SBA) and marketable securities which are measured at financial assets at fair value through other comprehensive income (FVOCI), land under "Property and equipment" account which is measured at revalued amount and investment properties measured at fair value. Historical cost is generally based on the fair value of the consideration given in exchange for an asset and consideration paid in exchange for the incurrence of a liability.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the transaction date. The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Adoption of Amendment to PFRS

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the following relevant amendments to PFRS which the Company adopted effective for annual periods beginning on or after January 1, 2023:

- Amendments to PFRS 3, Business Combinations - Reference to Conceptual Framework –

The amendments replaced the reference of PFRS 3 from the 1989 Framework to the current 2018 Conceptual Framework. The amendments include an exception that specifies that, for some types of liabilities and contingent liabilities, an entity applying PFRS 3 should refer to PAS 37, Provisions, Contingent Liabilities and Contingent Assets, or IFRIC 21, Levies, instead of the Conceptual Framework. The requirement ensures that the liabilities recognized in a business combination will remain the same as those recognized applying the current requirements in PFRS 3. The amendments also clarify that an acquirer shall not recognize contingent assets acquired in a business combination.

- Amendments to PAS 16, Property, Plant and Equipment - Proceeds Before Intended Use – The amendments prohibit deducting from the cost of property, plant and equipment any proceeds from selling items produced while bringing that asset to the location and condition necessary for its intended use. Instead, the proceeds and related costs from such items shall be recognized in profit or loss. There is no transition relief for first-time adopters.
- Amendments to PAS 37, Onerous Contracts - Cost of Fulfilling a Contract – The amendments specify which costs shall be included when assessing whether a contract is onerous or loss-making. The 'costs of fulfilling' a contract comprise the 'costs that relate directly to the contract'. These costs can either be incremental (e.g., the costs of direct labor and materials) or can be an allocation of costs directly related to fulfilling a contract (e.g., depreciation of fixed assets). At the date of initial application, the cumulative effect of applying the amendments is recognized as an opening balance adjustment to retained earnings or other component of equity, as applicable. Accordingly, the comparatives are not restated.
- Annual Improvements to PFRS 2018 to 2020 Cycle:
 - Amendment to PFRS 1, First-time Adoption of Philippine Financial Reporting Standards - Subsidiary as a First-time Adopter – The amendment permits a subsidiary that becomes a first-time adopter later than its parent and measures its assets and liabilities in accordance with paragraph D16 (a) of PFRS 1 to measure cumulative translation differences for all foreign operations using the amounts reported by its parent, based on the parent's date of transition to PFRS.
 - Amendment to PFRS 9, Financial Instruments - Fees in the '10 per cent' Test for Derecognition of Financial Liabilities – The amendment clarifies which fees an entity shall include when it applies the '10 per cent' test in assessing whether to derecognize a financial liability (i.e. whether the terms of a new or modified financial liability is substantially different from the terms of the original financial liability). These fees include only those paid or received between the borrower and the lender, including fees paid or received by either the borrower or the lender on the other's behalf. The amendment applies to financial liabilities that are modified or exchanged on or after the beginning of the annual reporting period in which the entity first applied the amendment.
 - Amendment to PFRS 16, Leases - Lease Incentives – The amendment removed from Illustrative Example 13 the illustration of the reimbursement of leasehold improvements by the lessor. The objective of the amendment is to avoid any potential confusion regarding the treatment of lease incentives because of how the requirements for lease incentives are illustrated.

The adoption of the foregoing amendments to PFRS did not have any material effect on the separate financial statements. Additional disclosures were included in the notes to separate financial statements, as applicable.

Amended PFRSI issued But Not Yet Effective

Relevant amended PFRS, which are not yet effective for the year ended December 31, 2022 and have not been applied in preparing the consolidated financial statements, are summarized below.

Effective for annual periods beginning on or after January 1, 2023:

- Amendments to PAS 1, Presentation of Financial Statements, and PFRS Practice Statement 2, Making Materiality Judgments - Disclosure Initiative - Accounting Policies – The amendments require an entity to disclose its material accounting policies, instead of its significant accounting policies and provide guidance on how an entity applies the concept of materiality in making decisions about accounting policy disclosures. In assessing the materiality of accounting policy information, entities need to consider both the size of the transactions, other events or conditions and its nature. The amendments clarify (1) that accounting policy information may be material because of its nature, even if the related amounts are immaterial, (2) that accounting policy information is material if users of an entity's financial statements would need it to understand other material information in the financial statements, and (3) if an entity discloses immaterial accounting policy information, such information should not obscure material accounting policy information. In addition, PFRS Practice Statement 2 is amended by adding guidance and examples to explain and demonstrate the application of the 'four-step materiality process' to accounting policy information. The amendments should be applied prospectively. Earlier application is permitted.
- Amendments to PAS 8, Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates – The amendments clarify the distinction between changes in accounting estimates and changes in accounting policies, and the correction of errors. Under the new definition, accounting estimates are "monetary amounts in financial statements that are subject to measurement uncertainty". An entity develops an accounting estimate if an accounting policy requires an item in the financial statements to be measured in a way that involves measurement uncertainty. The amendments clarify that a change in accounting estimate that results from new information or new developments is not a correction of an error, and that the effects of a change in an input or a measurement technique used to develop an accounting estimate are changes in accounting estimates if they do not result from the correction of prior period errors. A change in an accounting estimate may affect only the profit or loss in the current period, or the profit or loss of both the current and future periods. Earlier application is permitted.
- Amendments to PAS 12, Income Taxes - Deferred Tax Related Assets and Liabilities from a Single Transaction – The amendments require companies to recognize deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences. The amendments should be applied on a modified retrospective basis. Earlier application is permitted.

Effective for annual periods beginning on or after January 1, 2024:

- Amendments to PFRS 16, Leases - Lease Liability in a Sale and Leaseback – The amendments clarify that the liability that arises from a sale and leaseback transaction, that satisfies the

requirements in PFRS 15, Revenue from Contracts with Customers, to be accounted for as a sale, is a lease liability to which PFRS 16 applies and give rise to a right-of-use asset. For the subsequent measurement, the seller-lessee shall determine 'lease payments' or 'revised lease payments' in a way that the seller-lessee would not recognize any amount of the gain or loss that relates to the right of use retained by the seller-lessee. Applying this subsequent measurement does not prevent the seller-lessee from recognizing any gain or loss relating to the partial or full termination of a lease. Any gain or loss relating to the partial or full termination of the lease does not relate to the right of use retained but to the right of use terminated. The amendments must be applied retrospectively. Earlier application is permitted.

- Amendments to PAS 1, Presentation of Financial Statements - Classification of Liabilities as Current or Noncurrent – The amendments clarify the requirements for an entity to have the right to defer settlement of the liability for at least 12 months after the reporting period. The amendments also specify and clarify the following: (i) an entity's right to defer settlement must exist at the end of the reporting period, (ii) the classification is unaffected by management's intentions or expectations about whether the entity will exercise its right to defer settlement, (iii) how lending conditions affect classification, and (iv) requirements for classifying liabilities where an entity will or may settle by issuing its own equity instruments. The amendments must be applied retrospectively. Earlier application is permitted. If applied in earlier period, the Company shall also apply Amendments to PAS 1 - Noncurrent Liabilities with Covenants for that period.

- Amendments to PAS 1, Noncurrent Liabilities with Covenants – The amendments clarified that covenants to be complied with after the reporting date do not affect the classification of debt as current or noncurrent at the reporting date. Instead, the amendments require the entity to disclose information about these covenants in the notes to the financial statements. The amendments must be applied retrospectively. Earlier application is permitted. If applied in earlier period, the Company shall also apply Amendments to PAS 1 - Classification of Liabilities as Current or Noncurrent for that period.

Under prevailing circumstances, the adoption of the foregoing amendments to PFRS are not expected to have any material effect on the separate financial statements of the Company. Additional disclosures will be included in the separate financial statements, as applicable.

Basis of Consolidation

Subsidiaries. Subsidiaries are entities controlled by the Parent Company. The consolidated financial statements include the accounts of the Parent Company and its subsidiaries. The Parent Company has control when it is exposed, or has rights, to variable returns from its involvement with the investee and it has the ability to affect those returns through its powers over the investee.

Subsidiaries are consolidated from the date of acquisition or incorporation, being the date on which the Parent Company obtains control, and continue to be consolidated until the date such control ceases. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Changes in the controlling equity ownership (i.e., acquisition of non-controlling interest or partial disposal of interest over a subsidiary) that do not result in a loss of control are accounted for as equity transactions.

The financial statements of the subsidiaries are prepared for the same reporting period as the Parent Company, using consistent accounting policies. All intra-group balances, transactions, unrealized gains and losses resulting from intra-group transactions and dividends are eliminated in full. Non-controlling interests represent the portion of net results and net assets not held by the Parent Company. They are presented in the consolidated statements of financial position within equity, apart from equity attributable to equity holders of the parent and are separately disclosed in the consolidated statements of comprehensive income. Losses within a subsidiary are attributed to the non-controlling interest even if that results in a deficit balance.

Business Combinations and Goodwill. Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the acquirer measures the non-controlling interest in the acquiree either at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition costs incurred are recognized as expense. If the business combination is achieved in stages, the acquisition date fair value of the acquirer's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date through profit or loss.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be an asset or liability will be recognized in accordance with PAS 39 either in profit or loss or as a change to other comprehensive income. If the contingent consideration is classified as equity, it should not be remeasured. Subsequent settlement is accounted for within equity. In an instance where the contingent consideration does not fall within the scope of PAS 39, it is measured in accordance with the appropriate PFRS.

Goodwill is initially measured at cost being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in profit or loss. If the initial accounting for business combination can be determined only provisionally by the end of the period by which the combination is effected because either the fair values to be assigned to the acquiree's identifiable assets, liabilities or contingent liabilities or the cost of the combination can be determined only provisionally, the Group accounts the combination using provisional values. Adjustments to these provisional values as a result of completing the initial accounting shall be made within 12 months from the acquisition date. The carrying amount of an identifiable asset, liability or contingent liability that is recognized as a result of completing the initial accounting shall be calculated as if its fair value at the acquisition date had been recognized from that date and goodwill or any gain recognized shall be adjusted from the acquisition date by an amount equal to the adjustment to the fair value at the acquisition date of the identifiable asset, liability or contingent liability being recognized or adjusted.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash-generating units that are expected to benefit from the

combination, irrespective of whether other assets or liabilities of the acquire are assigned to those units. Where goodwill forms part of a cash-generating unit and part of the operation within that unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the cash-generating unit retained.

Financial Assets and Liabilities

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of a financial instrument. All regular way purchases and sales of financial assets are recognized on the trade date, i.e., the date that the Group commits to purchase the asset. Regular way purchases or sales are purchases or sales of financial assets that require delivery of the assets within the period generally established by regulation or convention in the market place.

Initial Recognition of Financial Instruments. Financial instruments are recognized initially at fair value of the consideration given (in the case of an asset) or received (in the case of a liability). Transaction costs are included in the initial measurement of all financial assets and liabilities, except for financial instruments measured at fair value through profit or loss (FVPL). Fair value is determined by reference to the transaction price or other market prices. If such market prices are not readily determinable, the fair value of the consideration is estimated as the sum of all future cash payments or receipts, discounted using the prevailing market rate of interest for similar instruments with similar maturities.

“Day 1” Differences. Where the transaction in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a “Day 1” difference) in the consolidated statements of comprehensive income. In cases where there is no observable data on inception, the Group deemed the transactions price as the best estimate of fair value and recognizes “Day 1” difference in profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the “Day 1” difference.

Classification of Financial Assets and Liabilities. The Group classifies its financial assets into the following categories: financial assets at FVPL, held-to-maturity (HTM) investments, available-for-sale (AFS) financial assets, and loans and receivables. The Group classifies its financial liabilities into financial liabilities at FVPL and other financial liabilities.

The Group determines the classification of its financial assets on initial recognition and, where allowed and appropriate, re-evaluates this designation at each financial year-end.

The Group does not have financial instruments classified as financial liabilities at FVPL and HTM investments.

Financial Assets at FVPL. Financial assets at FVPL are either classified as held for trading or designated at FVPL. A financial instrument is classified as held for trading if it meets either of the following conditions:

- it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term;

on initial recognition it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking; or

- it is a derivative (except for a derivative that is a financial guarantee contract or a designated and effective hedging instrument).

After initial measurement, financial assets at FVPL are subsequently carried at fair value. Unrealized gains or losses arising from the fair valuation of financial assets at FVPL are recognized in profit or loss.

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, loans and receivables are carried at amortized cost using the effective interest method less any allowance for impairment. The calculation takes into account any premium or discount on acquisition and includes transaction costs and fees that are an integral part of the effective interest rate. Gains and losses are recognized in consolidated statements of comprehensive income when the loans and receivables are derecognized or impaired, as well as through the amortization process.

Loans and receivables are included in current assets if maturity is within 12 months from reporting date. Otherwise, these are classified as noncurrent assets.

The Group has classified its cash and cash equivalents, trade and other receivables (excluding advances to officers and employees and advances to suppliers), restricted funds and due from related parties as loans and receivables.

AFS Financial Assets. AFS financial assets are those non-derivative financial assets that are not designated as another category of financial assets. AFS financial assets are initially measured at fair value plus incremental direct transaction costs. After initial measurement, AFS financial assets are measured at fair value with unrealized gains or losses recognized as other comprehensive income. These changes in fair value are recognized as other comprehensive income until the investment is derecognized or until the investment is determined to be impaired. Unquoted equity securities whose fair value cannot be reliably measured are carried at cost.

The Group has classified its investment in publicly-listed companies as AFS financial assets.

Other Financial Liabilities. Other financial liabilities at amortized cost pertain to issued financial instruments or their components that are not classified or designated at FVPL and contain obligations to deliver cash or another financial asset to the holder as to settle the obligation other than by the exchange of fixed amount of cash or another financial asset for a fixed number of own equity.

The Group's trade and other payables (excluding customers' deposits and statutory payables), loans payable, due to related parties and obligations under finance lease are classified under this category.

The amortized cost of a financial liability is the amount at which the financial liability is measured at initial recognition minus the principal repayments plus or minus the cumulative accretion using the effective interest method of any difference between that initial amount and the maturity amount. Interest expense, including premiums payable on settlement or redemption and direct issue costs, is charged to the consolidated statements of comprehensive income on an accrual basis using the

effective interest method. Interest expense is added to the carrying amount of the instrument to the extent that they are not settled in the period in which they arise.

Reclassification of Financial Instruments A financial instrument cannot be reclassified into or out of the FVPL category after initial recognition.

For a financial asset reclassified out of the AFS financial assets category to loans and receivables or HTM investments, any gain or loss previously recognized and any difference between the new amortized cost and maturity amount, are amortized to profit or loss over the remaining life of the investment using the effective interest method. If the financial asset is subsequently impaired, any gain or loss that has been recognized in other comprehensive income is reclassified from equity to profit or loss.

In the case of a financial asset that does not have a fixed maturity, the gain or loss shall be recognized in profit or loss when the financial asset is sold or otherwise disposed of.

Derecognition of Financial Assets and Liabilities

Financial Assets. A financial asset (or, when applicable a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass through' arrangement; or;
- the Group has transferred its right to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from an asset and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to pay.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired.

When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statements of comprehensive income.

Offsetting of Financial Assets and Liabilities. Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to

settle on a net basis, or to realize the assets and settle the liabilities simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statements of financial position.

Impairment of Financial Assets

The Group assesses at each reporting date whether there is objective evidence that a financial or group of financial assets is impaired. Objective evidence includes observable data that comes to the attention of the Group about loss events such as but not limited to significant financial difficulty of the counterparty, a breach of contract, such as a default or delinquency in interest or principal payments, probability that borrower will enter bankruptcy or other financial reorganization. If there is objective evidence that an impairment loss on financial assets carried at amortized cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. Time value is generally not considered when the effect of discounting is not material. The amount of the loss shall be recognized in the consolidated statements of comprehensive income.

The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant.

If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in the group of financial assets with similar credit risk and characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are not included in a collective assessment of impairment.

If, in a subsequent period, the amount of the estimated impairment loss decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is reduced by adjusting the allowance account. Any subsequent reversal of an impairment loss is recognized in the consolidated statements of comprehensive income, to the extent that the carrying value of the asset does not exceed its amortized cost at the reversal date.

A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of the new liability, and the difference in the carrying amount is recognized in profit or loss.

Inventories

Inventories consist of food and supplies that will be used in rendering the Group's services to its customers. These are valued at the lower of cost and net realizable value (NRV). Cost is determined using the weighted average method. The NRV of inventories is the estimated selling price in the ordinary course of business, less the estimated cost of marketing and distribution and the estimated costs necessary to make the sale. In determining the NRV, the Group considers any adjustment necessary for obsolescence.

Other Current Assets

Other current assets consist of input value-added tax (VAT), deferred input VAT, restricted cash, creditable withholding taxes (CWT) and prepayments.

VAT. Revenues, expenses and assets are recognized net of the amount of VAT. The net amount of tax payable to the taxation authority is included as part of "Trade and other payables" account in the consolidated statements of financial position.

Deferred Input VAT. In accordance with the Revenue Regulation (RR) No. 16-2005, input VAT on purchases or imports of the Group of capital goods (depreciable assets for income tax purposes) with an aggregate acquisition cost (exclusive of VAT) in each of the calendar month exceeding ₱1.0 million are claimed as credit against output VAT over 60 months or the estimated useful lives of capital goods, whichever is shorter.

Deferred input VAT represents the unamortized amount of input VAT on capital goods and input VAT on the unpaid portion of availed services, including the use or lease of properties. Deferred input VAT that is expected to be realized within twelve months after the financial reporting period are classified as current assets, otherwise, these are classified as noncurrent assets.

Restricted fund. Restricted fund includes cash in banks set aside for the acquisition of various assets that will be used in operations. This is classified under current asset if the expected release is within 12 months from the financial reporting date. Otherwise, this is classified as a noncurrent asset.

Prepayments. Prepayments are not yet incurred but paid in advance. Prepayments are apportioned over the period covered by the payment and charged to the appropriate account in profit or loss when incurred. Prepayments that are expected to be realized for no more than 12 months after the reporting period are classified as current asset. Otherwise, these are classified as noncurrent asset.

CWT. CWT represents the amount withheld by the Group's customers in relation to its income. CWTs can be utilized as payment for income taxes provided that these are properly supported by certificates of creditable tax withheld at source subject to the rules on Philippine income taxation.

Property and Equipment

Property and equipment, except for land, are stated at cost less accumulated depreciation and amortization and impairment in value, if any. Land is measured at fair value less any impairment in value. The initial cost of property and equipment consists of its purchase price including import duties, borrowing costs (during the construction period) and other costs directly attributable to bring the asset to its working condition and location for its intended use. Cost also includes the cost of replacing parts of such property and equipment when the asset recognition criteria are met. Expenditures incurred after the property and equipment have been put into operation, such as repairs, maintenance and overhaul costs, are normally charged to profit or loss. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional costs of property and equipment.

Depreciation and amortization are computed on the straight-line basis over the following estimated useful lives of the property and equipment:

	Number of Years
Land improvements	5
Buildings	2-50
Leasehold improvements	3-50 years or term of the lease, whichever is shorter
Machineries	10-20
Furniture, fixtures and equipment	3-10
Transportation and delivery equipment	5
Operating equipment	5

The estimated useful lives and depreciation and amortization method are reviewed periodically to ensure that the periods and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

When assets are retired or otherwise disposed of, the cost and the related accumulated depreciation and amortization and any impairment in value are removed from the accounts. Any resulting gain or loss is recognized in profit or loss.

Construction in-progress represents properties under construction and is stated at cost, including cost of construction and other direct costs. Construction in-progress is not depreciated until such time that the relevant assets are completed and ready for operational use.

Borrowing Costs

Borrowing costs that are directly attributable to the acquisition, construction of a qualifying asset, which necessarily takes a substantial period of time to prepare for its intended use are included in the cost of that asset. Such borrowing costs are capitalized as part of the cost of the asset when it is probable that these will result in future economic benefits to the Group and the costs can be measured reliably. Other borrowing costs are recognized as expense.

Capitalization of borrowing costs is suspended during extended period in which the Group suspends active development of a qualifying asset and ceases when substantially all the activities necessary to prepare the qualifying asset for its intended use are complete. An asset is normally ready for its intended use when the physical construction of the asset is complete even though routine administrative work might still continue.

Advances to Contractors and Suppliers

Advances to contractors and suppliers represent advance payments on services to be incurred in connection with the Group's operations. These are capitalized to projects in the consolidated statements of financial position, upon actual receipt of services or supplies, which is normally within 12 months or within the normal operating cycle. These are considered as nonfinancial instruments as these will be applied against future billings from contractors and suppliers normally within one year. Advance payments to contractors and suppliers, relating to the portion of the project that is classified as investment property and to advance payments that will be applied against future billings beyond 12 months from the reporting date, are presented as part of "Other noncurrent assets" account in the consolidated statements of financial position.

Impairment of Nonfinancial Assets

The nonfinancial assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. If any such indication exists and where the carrying amount exceeds its estimated recoverable amounts, the asset or cash-generating unit is written down to its recoverable amount. The estimated recoverable amount of the asset is the higher of an asset's fair value less costs to sell or value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. Impairment losses are recognized in the consolidated statements of comprehensive income.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. However, that increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss. After such reversal, the depreciation and amortization charge is adjusted in future years to allocate the asset's revised carrying amount, on a systematic basis over its remaining useful life.

Equity

Capital Stock and Additional Paid-In Capital. Capital stock is measured at par value for all shares issued. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital. Incremental costs incurred directly attributable to the issuance of new shares are recognized in equity as deduction from proceeds, net of tax. Unpaid subscriptions are recognized as a reduction to subscribed common shares.

Retained Earnings. Retained earnings represent the cumulative balance of net income, net of any dividend declaration.

Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received, excluding discounts and rebates. The following specific recognition criteria must also be met before revenue is recognized:

Rooms. Revenue is recognized when the related services have been rendered. The performance obligations from revenue from rooms are satisfied as the services are rendered and are recognized over time.

Food, beverage and others. Revenue is recognized upon delivery to and receipt of goods by the customer. The performance obligations from sale of food, beverages and others are satisfied upon delivery and are recognized at a point in time.

Rental Income. Rental income on leased retail outlets is recognized on a straight-line basis over the lease term.

Management, Incentive and Allied Service Income. Management, incentive and allied services income arising from management contracts is recognized when services are rendered at a point in time.

Other operating income. Revenue is recognized when the related services have been substantially rendered.

Interest. Interest income is recognized as the interest accrues taking into account the effective yield on the asset.

Others. Other revenue and income is recognized when earned during the period.

Cost and Expense Recognition

Costs and expenses are recognized in profit or loss when a decrease in future economic benefits related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably.

Cost of services. Cost of room services is recognized as expense when the related services are rendered.

Cost of food, beverages and others. Cost of food, beverages and others is recognized as expense when the related goods are sold.

Operating Expenses. Operating expenses constitute costs of administering the business and costs incurred to sell and market the goods and services. These are expensed when incurred.

Finance Costs. Finance cost is recognized in profit or loss using the effective interest method. Costs that are directly attributable to the acquisition and construction of a qualifying asset, which necessarily takes a substantial period of time to prepare for its intended use are capitalized as part of cost of that assets.

Basic and Diluted Earnings/Loss Per Share (EPS)

Basic EPS is computed by dividing the net income for the period attributable to equity holders of the Group by the weighted average number of issued and outstanding and subscribed common shares during the period, with retroactive adjustment for any stock dividends declared.

Diluted EPS is computed in the same manner, adjusted for the effects of convertible securities.

Employee Benefits

Short-term Benefits. The Group recognizes a liability net of amounts already paid and an expense for services rendered by employees during the accounting period. A liability is also recognized for the amount expected to be paid under short-term cash bonus or profit sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Short-term employee benefit liabilities are measured on an undiscounted basis and are expensed as the related service is provided.

Retirement Benefit Costs. The Group has both funded and unfunded, non-contributory defined benefit plan covering all qualified employees. The retirement benefits cost is determined using the projected

unit credit method which reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

The Group recognizes service costs, comprising of current service costs, past service costs, gains and losses on curtailments and non-routine settlements; and interest expense or income in profit or loss. Interest is calculated by applying the discount rate to the retirement benefit liability.

Past service costs are recognized in profit or loss on the earlier of the date of the plan amendment or curtailment; and the date that the Group recognizes restructuring-related costs.

Net interest on the net retirement liability is the change during the period in the net retirement liability that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net retirement liability or asset. Net interest is calculated by applying the discount rate to the net retirement liability.

Re-measurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on retirement liability or asset) are recognized immediately in other comprehensive income in the period in which they arise. Re-measurements are not reclassified to profit or loss in subsequent periods.

The net retirement liability or asset is the aggregate of the present value of the retirement liability and the fair value of plan assets on which the obligations are to be settled directly. The present value of the retirement liability is determined by discounting the estimated future cash outflows using interest rate on government bonds that have terms to maturity approximating the terms of the related retirement liability.

Actuarial valuations are made with sufficient regularity so that the amounts recognized in the consolidated financial statements do not differ materially from the amounts that would be determined at the reporting date.

Foreign Currency - Denominated Transactions

The Group determines its own functional currency and items included in the financial statements are measured using that functional currency. Transactions in foreign currencies are initially recorded in the functional currency rate at the transaction date.

Monetary assets and liabilities denominated in foreign currencies are retranslated at the functional currency rate at the reporting date. All differences are taken to the consolidated statements of comprehensive income. Nonmonetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions. Nonmonetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined.

Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset. A reassessment is made after inception of the lease only if one of the following applies:

- there is a change in contractual terms, other than a renewal or extension of the arrangement;
- a renewal option is exercised or extension granted, unless the term of the renewal or extension was initially included in the lease term;
- there is a change in the determination of whether fulfilment is dependent on a specified asset;
or
- there is a substantial change to the asset.

Where reassessment is made, lease accounting shall commence or cease from the date when the change in circumstances gave rise to the reassessment for scenarios (a), (c) or (d) and at the date of renewal or extension period for scenario (b).

Group as Lessee. Leases where the lessor retains substantially all the risks and rewards of ownership are classified as operating leases. Operating lease payments are recognized as an expense in profit or loss on a straight-line basis over the lease term.

Finance leases that transfer to the Group substantially all the risks and rewards incidental to ownership of the leased item, are capitalized at the commencement of the lease at the fair value of the leased property or, if lower, at the present value of the minimum lease payments. Lease payments are apportioned between finance charges and reduction of the lease liability so as to achieve a constant rate of interest on the remaining balance of the liability. Finance charges are recognized as interest expense in profit or loss. A leased asset is depreciated over the useful life of the asset. However, if there is no reasonable certainty that the Group will obtain ownership by the end of the lease term, the asset is depreciated over the shorter of the estimated useful life of the asset and the lease term.

Related Parties

Related party transactions are transfer of resources, services, or obligations between the Group and its related parties.

Related party relationship exists when one party has the ability to control, directly, or indirectly through one or more intermediaries, or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities which are under common control with the reporting entity, or between, and/or among the reporting entity and its key management personnel, directors or its stockholders. In considering each possible related party relationship, attention is directed to the substance of the relationship, and not merely to the legal form.

Income Taxes

Current Tax. Current tax is the expected tax payable on the taxable income for the year, using tax rate enacted or substantively enacted at the reporting date.

Deferred Tax. Deferred tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognized for all taxable temporary differences. Deferred tax assets are recognized for all deductible temporary differences, carry forward benefits of unused tax credits from the excess of minimum corporate income tax (MCIT) over the regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carry forward benefits of unused

tax credits and unused tax losses can be utilized. Deferred tax, however, is not recognized when it arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset, if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Provisions and Contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of a past event, it is more likely than not that an outflow of resources will be required to settle the obligation; and the amount can be reliably estimated.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognized as interest expense.

Provisions are reviewed at the end of each reporting year and adjusted to reflect the current best estimate.

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

Segment Reporting

Operating segments are components of the Group: (a) that engage in business activities from which they may earn revenue and incur expenses (including revenues and expenses relating to transactions with other components of the Group); (b) whose operating results are regularly reviewed by the Group's senior management, its chief operating decision maker, to make decisions about resources to be allocated to the segment and assess its performance; and (c) for which discrete financial information is available.

For purposes of management reporting, the Group's operating businesses are organized and managed separately based on the nature of the business segment, with each business representing a strategic business segment.

Events After the Reporting Date

Post year-end events that provide additional information about the Group's financial position at the end of reporting date (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the notes to consolidated financial statements when material.

3. Significant Accounting Judgments and Estimates

The preparation of the Group's consolidated financial statements requires management to make judgment, accounting estimates and assumptions that affect the amounts reported in the consolidated financial statements and accompanying notes. The judgment and accounting estimates used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as at the reporting date.

While the Group has assessed that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the estimated amounts. Actual results could differ from such estimates.

The estimates and underlying assumptions are reviewed on a non-going basis. Changes in accounting estimates are recognized in the period in which the estimate is revised if the change affects only that period or in the period of the change and future periods if the revision affects both current and future periods.

The following are the significant judgment, accounting estimates and assumptions made by the Group:

Determining the Fair Value of Financial Instruments. The fair value of investments that are actively traded in organized financial markets are determined by reference to quoted market prices at the close of business on the reporting date.

Investments that do not have a quoted price in an active market is reliably measurable if:

1. The variability in the range of reasonable fair value measurements is not significant for that instrument, or
2. The possibilities of the various estimates within the range can be reasonably assessed and used when measuring fair value.

The Group uses judgment in assessing the significance of a particular input to the fair value measurements in its entirety, considering factors specific to the asset.

As at December 31, 2023, fair value of financial assets at FVOCI amounted to ₱359.59 million.

Determining the Reportable Operating Segments. Determination of operating segments is based on the information about components of the Group that management uses to make decisions about the operating matters. Operating segments use internal reports that are regularly reviewed by the Parent Company's chief operating decision maker, which is defined to be the Parent

Company's BOD, in order to allocate resources to the segment and assess its performance. The Group reports separate information about an operating segment that meets any of the following quantitative thresholds: (a) its reported revenue, including both sales to external customers and inter segment sales or transfers, is 10% or more of the combined revenue, internal and external, of all operating segments; (b) the absolute amount of its reported profit or loss is 10% or more of the greater, in absolute amount, of (i) the combined reported profit of all operating segments that did not report a loss and (ii) the combined reported loss of all operating segments that reported a loss; and (c) the assets of the segment are 10% or more of the combined assets of all operating segments.

The Group determined that its operating segments are organized and managed separately based on the nature of the business segment, with each business representing a strategic segment.

As at December 31, 2023 and 2022, the Group's operating segments consist of resort and leisure, leasing and management services.

Determining the Classification of a Property. The Group determines whether a property is classified as investment property or property and equipment as follows:

- Investment property comprises of properties held by the Group either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business or for administrative purposes.
- Property and equipment comprises of properties that are held for use in the ordinary course of business.

Determining the Lease Commitments - Group as a Lessee. The Group has entered into agreements with various lessors for the use of islands, building and other assets. The Group determines that it has the right to obtain substantially all of the economic benefits and direct the use of the leased assets. Accordingly, the agreements contain leases.

Estimating the ROU Assets and Lease Liabilities. The Group determines lease payments, lease term and discount rate at the commencement date of a lease. The lease term comprises non-cancellable period of a lease contract. Any option to extend or terminate the lease that is included in the lease term must be enforceable. The Group considers all relevant facts and circumstances that create an economic incentive for the Group to exercise, or not to exercise, the option such as, but not limited to, significant leasehold improvements undertaken and the importance of the underlying asset to the Group's operations. After the commencement date, the Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate (e.g., construction of significant leasehold improvements or significant customization to the leased asset).

Determining Discount Rate for Lease. The Group uses its incremental borrowing rate as basis for the discount rate which is the rate that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the ROU asset in a similar economic environment. The Group uses its general borrowing rate adjusted

for the lease term, security of an item with the underlying nature of the leased asset and expectations of residual value, among others.

Operating Lease Commitments - Group as Lessor. The Group has entered into non-cancellable operating lease agreements covering the retail outlets. Considering that there will be no transfer of ownership of the leased properties to the lessee, the Group has determined that it retains all the significant risks and benefits of ownership of these properties. Accordingly, the leases are accounted for as operating leases.

Estimating the ECL on Financial Assets at Amortized Cost. The Group estimates ECL on accounts receivable using a provision matrix which considers the Group's historical credit loss experience adjusted for forward-looking factors, as appropriate.

For other financial assets at amortized cost, the Group determines the allowance for ECL using general approach based on probability-weighted estimate of the present value of all cash shortfalls over the expected life of the financial assets at amortized cost. ECL are provided for credit losses that result to possible default events within 12-months unless there has been a significant increase in credit risk since initial recognition, in which case, ECL are provided based on lifetime expected credit loss.

The amounts and timing of recorded expenses for any period would differ if different estimates and assumptions were made or different estimates were utilized. An increase in the allowance for ECL would increase the recognized expense and decrease current assets.

While cash in banks and funds held in trust are subject to the impairment requirements of PFRS 9, the resulting impairment loss is not significant primarily because these are with reputable counterparty banks that possess good credit rating.

Determining the NRV of Inventories. The Group, in determining the NRV of inventories, considers any adjustments for obsolescence, which is generally 100% allowance on inventories that are damaged or a certain percentage if their selling prices have declined. The amount and timing of recorded expenses for any period would differ if different judgment were made or different estimates were used. An increase in allowance for inventory obsolescence and market decline would increase recorded operating expense and decrease current assets.

No inventory write-down was recognized as management assessed that the cost of inventories is lower than the NRV.

Determining the Fair Value of Land under Property and Equipment, and Investment Properties. The Group's land under "Property and equipment" and "Investment properties" accounts are carried at revalued amount and fair value, respectively, at the end of the reporting period. In determining the fair value of these assets, the Group engages the services of professional and independent firm of appraisers.

In order to arrive at a reasonable valuation, the appraisers performed a valuation of the properties, requested information from reputable sources and considered the following: (a) utility and market value of the land; (b) cost of reproduction new of the replaceable property; (c) current prices for similar used property in the second hand market; (d) age, condition, past maintenance, and present and prospective serviceability in comparison with new assets of like kind; (e) accumulated depreciation; and, (f) recent trend and development in the industry concerned.

Estimating the Useful Lives of Property and Equipment and Investment Property. The Group estimates the useful lives of property and equipment and investment property based on the period over which the assets are expected to be available for use. The estimates are based on a collective assessment of industry practice, internal technical evaluation and experience with similar assets. The estimated useful lives of property and equipment and investment property are reviewed at each reporting date and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of the assets.

Future results of operations could be materially affected by changes in estimates brought about by changes in the factors mentioned above. The amount and timing of recording of depreciation expense for any period would be affected by changes in these factors and circumstances.

There were no changes in the estimated useful lives of property and equipment and investment property in 2023.

Assessing the Impairment of Nonfinancial Assets. The Group assesses impairment on its nonfinancial assets whenever events or changes in circumstances indicate that the carrying amount of the assets or group of assets may not be recoverable. The relevant factors that the Group considers in deciding whether to perform an asset impairment review include the following:

- significant under performance of a business in relation to expectations;
- significant negative industry or economic trends; and
- significant changes or planned changes in the use of the assets.

Whenever the carrying amount of an asset exceeds its recoverable amount, an impairment loss is recognized. Recoverable amounts are estimated for individual assets or, if it is not possible, for the cash-generating unit to which the asset belongs. Recoverable amount represents the value in use, determined as the present value of estimated future cash flows expected to be generated from the continued use of the assets. The estimated cash flows are projected using growth rates based on historical experience and business plans and are discounted using pretax discount rates that reflect the current assessment of the time value of money and the risks specific to the assets.

In 2021, no impairment loss was recognized on the Group's nonfinancial assets.

In 2020, Discovery Adventure was significantly damaged by the Typhoon "Quinta" resulting to the recognition of impairment loss amounting to ₱159.3million. No impairment was recognized for other nonfinancial assets in 2020.

Assessing the Impairment of Goodwill. The Group tests annually whether any impairment in goodwill should be recognized, in accordance with the related accounting policy in Note 2 to the consolidated financial statements. The recoverable amount of EPRI is based on the higher of fair value less costs of disposal, which is measured using market approach, and value in use, which is based on discounted cashflow model.

No impairment of goodwill was recognized in 2023 and 2022. The carrying amount of goodwill amounted to ₱130.0million as at December 31, 2023.

Determining the Retirement Benefit Costs. The determination of the Group's obligation and cost of retirement benefits is dependent on the assumptions used by the actuary in calculating such amounts. These assumptions are described into the consolidated financial statements and include, among others, discount rates and salary increase rates. Actual results that differ from the Group's assumptions are accumulated and amortized over future periods and therefore, generally affect the recognized expense and recorded obligation in such future periods. While the Group has assessed that the assumptions are reasonable and appropriate, significant differences in the actual experience or significant changes in the assumptions may materially affect the retirement benefit obligations.

As at December 31, 2023, net retirement benefit liability amounted to ₱42.11million.

Recognizing the Deferred Tax Assets. The Group reviews the carrying amounts of deferred tax assets at each reporting date and reduces the balance to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized.

Deferred tax assets recognized by the Group amounted to ₱66.06 million as at December 31, 2023.

4. Goodwill

As at December 31, 2024 and 2023, goodwill recognized as a result of a business combination are as follows:

EPRI	P130,041,512
DFC	21,835,606
	151,877,118
Less allowance for impairment loss - DFC	(21,835,606)
	P130,041,512

In 2024, 2023 and 2022, the Group has assessed that there is no impairment of goodwill arising from the acquisition of EPRI. The recoverable amount of EPRI is based on fair value less costs of disposal which is measured using market approach and is classified as Level 3 of the fair value hierarchy. This approach utilizes information on transactions involving assets that are the same or similar to the subject asset to arrive at an indication of value. With this approach, sales and/or listings of similar property or parcels of land are analyzed, compared, and adjusted to provide a value indication for the property being appraised. The comparison process is based on an analysis of the similarity or dissimilarity of the comparables. The inputs used to determine the market value of the parcels of land include location characteristics, size, time element, quality and marketability.

Management has assessed that any reasonably possible changes in the key assumptions on which the CGU's recoverable amount is based would not cause the carrying amount to exceed its recoverable amount. Accordingly, no impairment loss should be recognized.

5. Cash and Cash Equivalents

This account consists of:

	September 30, 2025	2024
Cash on hand	₱3,212,363	₱5,877,934
Cash in banks	136,578,083	168,170,183
	₱139,790,446	₱174,048,117

Cash in banks earns interest at the prevailing bank deposit rates and are immediately available for use in the current operations.

Interest income earned from cash in banks and cash equivalents aggregated ₱0.7million as of September 30, 2025 and December 31, 2024, respectively.

6. Accounts and Other Receivables

This account consists of:

	September 30, 2025	2024
Trade receivables	₱82,630,786	₱96,479,651
Receivable from related parties	5,170,907	5,170,907
Advances to officers and employees	3,777,815	2,706,688
Others	3,026,580	6,914,557
Total	94,606,088	111,271,803
Allowances for impairment losses	(973,536)	(973,536)
	₱93,632,552	₱110,298,267

Trade receivables are non-interest bearing and are generally on 30-days term.

Receivable from related parties pertain to the corresponding funded portion of the acquired retirement benefit obligation of employees transferred to the Group by related parties.

Advances to officers and employees represent cash advances used for certain operating expenses subject to liquidation on the month following its disbursement.

Other receivables are noninterest-bearing and generally collectible within 30 days.

7. Inventories

This account consists of:

	September 30, 2025	2024
General supplies	₱13,864,892	₱16,515,180
Food supplies	11,163,354	11,594,851
Engineering supplies	2,596,460	3,019,126
Beverages supplies	6,402,955	6,643,838
Diesel inventory	1,159,715	3,809,901
Others	10,495,174	3,360,970
Total	₱45,682,550	₱44,943,866

Inventories are carried at cost which is lower than NRV.

8. Other Current Assets

This account consists of:

	September 30, 2025	2024
Creditable withholding taxes	₱61,684,158	₱43,382,091
Prepayments	18,889,868	23,608,820
Funds held in trust	10,831,969	13,768,748
Advances to contractors and suppliers	16,797,982	4,645,474
Current portion of deferred input tax	1,109,184	2,097,453
Others	2,034,170	591,059
	₱111,347,331	₱88,093,645

Prepayments pertain mainly to advances payment on membership fee, advertising and insurance.

Funds held in trust are funds maintained by the Group in local banks set aside for asset improvement purposes for operations in relation to management contracts with managed properties.

Advances to contractors and suppliers mainly pertain to advance payments made to suppliers and contractors in relation with Group's operations. These will be applied against future billings.

9. Property and Equipment

The balances and movements on this account are as follows:

	2024										
	At Revalued Amount					At Cost					
	Land	Land Improvements	Buildings	Leasehold Improvements	Machineries	Furniture, Fixtures and Equipment	Transportation and Delivery Equipment	Operating Equipment	ROU Assets (see Note 24)	Construction in Progress	Total
Cost/Revalued Amount											
Balance at beginning of year	₱6,780,469,674	₱170,676,981	₱1,890,638,564	₱138,112,486	₱149,002,914	₱485,042,481	₱280,784,493	₱109,232,166	₱33,704,980	₱1,037,162,420	₱11,074,827,159
Additions	520,000	9,999	24,388,713	–	19,611,536	60,209,667	10,588,815	515,184	–	97,539,501	213,383,415
Reclassification	–	–	74,207,390	–	–	–	–	–	–	(74,207,390)	–
Balance at end of year	6,780,989,674	170,686,980	1,989,234,667	138,112,486	168,614,450	545,252,148	291,373,308	109,747,350	33,704,980	1,060,494,531	11,288,210,574
Accumulated Depreciation and Amortization											
Balance at beginning of year	–	8,025,916	474,820,332	26,261,319	138,138,126	410,837,104	162,489,524	104,879,424	2,839,164	–	1,328,290,909
Depreciation and amortization	–	2,917,787	60,444,114	1,984,303	14,881,449	29,741,406	17,636,617	2,421,023	1,571,794	–	131,598,493
Balance at end of year	–	10,943,703	535,264,446	28,245,622	153,019,575	440,578,510	180,126,141	107,300,447	4,410,958	–	1,459,889,402
Carrying Amount	₱6,780,989,674	₱159,743,277	₱1,453,970,221	₱109,866,864	₱15,594,875	₱104,673,638	₱111,247,167	₱2,446,903	₱29,294,022	₱1,060,494,531	₱9,828,321,172

10. Investment Property

This account consists of retail outlets held to earn rentals. Balances on this account are as follows:

	Land	Building	Construction in Progress	Total
Cost				
Beginning balance	₱41,776,006	₱345,564,366	₱25,823,206	₱413,163,578
Additions		-	-	
Balance	41,776,006	345,564,366	25,823,206	413,163,578
Fair Value Changes:				
Beginning balance	₱717,002,799	₱28,211,964	₱-	₱745,214,763
Fair value gain (loss)	41,830,113	(5,173,466)	-	36,656,647
Balance at end	758,832,912	23,038,498	-	781,871,410
Carrying Amount	₱800,608,918	₱368,602,864	₱25,823,206	₱1,195,034,988

11. Financial Assets at FVOCI

The account consists of investment in preferred shares in Sterling Bank of Asia and Kandor Hospitality Corporation of ₱369,562,500 and marketable equity securities of ₱832,810 for the period September 30, 2025 and December 31, 2024 respectively.

The marketable equity securities are traded in the PSE. The fair values of these listed shares are based on closing market prices and are classified under Level 1 of the fair value hierarchy. These equity securities are intended to be disposed when management deems the sale will be beneficial to the Group.

12. Other Non-current Assets

This account consists of:

	September 30, 2025	2024
Advances to suppliers	₱424,129,305	₱372,969,026
Restricted cash	35,185,319	34,030,792
Accrued rent	4,042,812	3,221,019
Advance payments for land acquisition	441,197,867	276,610,326
Deposits	3,952,771	8,476,123
Others	7,987,907	4,068,176
	₱916,495,981	₱699,648,462

Advances to contractors and suppliers represent advances made for the Group's on-going projects. These advances are non-interest bearing and are applied against contractor's and suppliers' billings.

Accrued rent pertains to the accrual of rental income on a straight-line basis.

Advance payments for land acquisition pertain to down-payment for the property in Matina, Davao City, Davao del Sur.

Deposits pertain to utility and other deposits refundable upon completion or expiration of the related agreements and contracts.

13.Accounts and Other Payables

This account consists of:

	September 30, 2025	2024
Accounts payable	₱132,492,446	₱159,128,331
Subscription payable	180,000,000	180,000,000
Customers' deposits and deferred certificates	260,236,016	252,987,419
Accrued expenses	130,836,663	69,880,886
Retention payable	88,133,886	76,488,079
Interest payable	27,416,934	27,630,669
Statutory payables	20,110,754	18,058,259
Others	26,146,128	4,918,514
	₱865,372,827	₱789,092,157

Accounts payables are unsecured, noninterest-bearing and are generally settled in varying periods within one year depending on the arrangements with suppliers.

Customers' deposits pertain to the advance payments from customers for their hotel room reservations. Deferred certificates are gift checks bought by customers to be utilized for hotel services. Customers' deposits and deferred certificates are for services which have not yet been rendered as at the end of the reporting period.

Retention payable pertains to portion of billings of the contractor retained by the Group in accordance with the contract terms. These will be paid upon satisfactory fulfillment of the contract.

Accrued expenses mainly represent accruals for outside services, utilities and salaries and wages that are expected to be settled in the subsequent month.

Statutory payables consist of output VAT, deferred output VAT and taxes withheld by the Group on employees' compensation and on payment to suppliers. These are remitted to the respective regulatory agencies in the following month.

14. Loans Payable

This account consists of:

	September 30, 2025	2024
Current portion of loans payable	₱1,349,884,475	₱1,435,836,319
Loans payable – net of current portion	3,249,414,086	2,697,138,950
	₱4,599,298,561	₱4,132,975,269

Short-term Borrowings

This account consists of unsecured short term loans from local creditor banks obtained by the Group to finance the ongoing construction projects and for working capital purposes. These are payable monthly and quarterly.

Long-term Loans Payable

The Group obtained loans from local creditor banks primarily to finance the ongoing construction of the Group. These loans are on a 7 to 10 year term and are payable monthly and quarterly with interest, subject to monthly and quarterly repricing.

15. Cost of Sales and Services

This account consists of the following as of September 30, 2025 and 2024:

	2025	2024
Services	₱364,751,305	₱371,045,279
Food, beverages and others	107,507,139	83,528,237
	₱472,258,444	₱454,573,516

16. Operating Expenses

The operating expenses in the consolidated statements of comprehensive income are classified as follows as of September 30, 2025 and 2024:

	2025	2024
Administrative	₱277,768,688	₱281,458,940
Selling and Marketing	24,286,915	22,140,836
	₱302,055,603	₱303,599,776

Item 2 – Management Discussion and Analysis of Financial Conditions and Results of Operations

The table below presents the summary of operating and financial information of the company for the periods ending September 30, 2025, September 30, 2024 and December 31, 2024.

The information below is not necessarily indicative of the results of future operations or financial condition of the company:

Summary of Comprehensive Income		
<i>Amounts in ₱ millions</i>	Unaudited	Unaudited
	September 30, 2025	September 30, 2024
Revenues	736.80	773.33
Cost of sales and services	472.26	454.57
Gross profit	264.54	318.76
Operating expenses	302.06	303.60
Operating income (loss)	(37.51)	15.15
Other Income (Charges)	(256.79)	(185.72)
Profit (loss) before tax	(294.30)	(170.56)
Net profit (loss)	(294.30)	(170.56)
Comprehensive income (loss)	(294.30)	(170.56)

Difference in decimal numbers are due to rounding off

Summary of Financial Position		
Amount in ₱ millions	September 30, 2025 Consolidated – Unaudited	December 31, 2024 Consolidated – Audited
Assets		
Cash and cash equivalents	139.79	174.05
Trade and other receivables	93.63	110.30
Due from related parties	15.76	7.65
Inventories	45.68	44.94
Input value-added tax (VAT)	164.24	137.67
Other current assets	111.35	88.09
Total Current Assets	570.45	562.70
Property and equipment – net	9,880.75	9,831.27
Investment property	1,195.03	1,195.03
Financial assets at fair value through other comprehensive income (FVOCI)	370.39	370.40
Goodwill	130.04	130.04
Net deferred tax assets	68.28	68.28
Other non-current assets	916.50	699.65
Total Noncurrent Assets	12,560.99	12,294.67
Total Assets	13,131.44	12,857.37
Liabilities and Equity		
Accounts and other payables	865.37	789.09
Due to related parties	9.53	9.59
Loans payable – current	1,349.88	1,435.84

Lease liabilities - current	5.50	4.66
Total Current Liabilities	2,230.28	2,239.18
Loans payable –noncurrent	3,249.41	2,697.14
Lease liabilities – noncurrent	24.48	28.30
Due to related parties	1,106.72	1,076.78
Net retirement benefit liability	52.47	53.78
Security deposits	6.43	6.25
Net deferred tax liabilities	1,444.59	1,444.58
Total Non-current Liabilities	5,884.10	5,306.83
Total Liabilities	8,114.38	7,546.01
Capital stock	854.00	854.00
Additional paid-in capital	505.54	505.54
Retained earnings	(926.67)	(632.37)
Other equity reserve	4,584.19	4,584.19
Total Equity	5,017.06	5,311.36
Total Liabilities and Equity	13,131.44	12,857.37

Difference in decimal numbers are due to rounding off

Material changes to the Statements of Comprehensive Income for the period ended September 30, 2025 and September 30, 2024.

Revenues

For the three months ended September 30, 2025, the Group's total revenue amounted to ₱147 million, representing a 21% decrease (₱38 million) compared to the ₱185 million reported in the third quarter of 2024. The decline was primarily attributed to the absence of revenue contributions from the Group's cruise trip operation and the slowdown of visitor arrivals.

Cost of Sales and Services

The consolidated cost of sales and services registered a slight decrease, declining from ₱137 million in the third quarter of 2024 to ₱133 million in the same period of 2025.

Gross Income and Gross Profit Margin

As of September 30, 2025, the Group's gross profit amounted to ₱13.8 million, representing a 71% decrease compared to ₱47.8 million in the same period of 2024. The decline was primarily attributed to higher costs and lower revenue generation during the period.

Operating Expenses

Consolidated operating expenses for the third quarter of 2025 totaled ₱98 million, representing a 6% decrease from the ₱104 million recorded in the same period of 2024. This reduction reflects the Group's improved operational efficiency and cost management initiatives.

Net Loss

The Group reported a consolidated net loss of ₱211.9 million for the three months ended September 30, 2025, compared to a ₱120.4 million net loss recorded in the same period of 2024. The wider loss was primarily driven by a ₱67.3 million loss on the disposal of assets.

Material changes to the Statements of Financial Position as of September 30, 2025 compared to the Statement of Financial Position as of December 31, 2024.

Cash and cash equivalents

As of September 30, 2025, the Group's cash and cash equivalents amounted to ₱139.7 million, representing a ₱34.2 million (20%) decrease from ₱174.0 million as of the same period in 2024. The decline was primarily attributable to higher operational cash outflows.

Accounts and other receivables

The balance of accounts and other receivables decreased by ₱16.7 million, from ₱110.2 million as of December 31, 2024 to ₱93.6 million as of September 30, 2025. The decrease was mainly due to the Group's enhanced collection efforts during the period.

Inventories

As of September 30, 2025, inventories increased by ₱0.7 million, from ₱44.9 million to ₱45.6 million. The increase was primarily attributed to inventory replenishment in anticipation of future demand.

Other current assets

Other current assets increased by ₱23.2 million (26%) during the period, from ₱88.0 million as of December 31, 2024, to ₱111.3 million as of September 30, 2025. The increase was primarily attributable to movements in creditable withholding taxes arising from the collection of trade receivables and payments to suppliers.

Other non-current assets

Other non-current assets increased to ₱869.3 million as of September 30, 2025, representing a ₱216.8 million (31%) rise from the ₱699.0 million balance as of December 31, 2024. The increase was primarily due to advance payments to suppliers and contractors, as well as to the seller of a recently acquired property.

Accounts and other payables

Accounts and other payables increased by ₱76.0 million (10%), from ₱789.0 million as of December 31, 2024, to ₱865.3 million as of September 30, 2025. The increase was primarily driven by collections from lot buyers, advance bookings in the hospitality segment, and retention payables to contractors.

Loans Payable

Loans payable increased from ₱4.13 billion as of December 31, 2024, to ₱4.60 billion as of September 30, 2025. The change was primarily due to the net effect of availments and payments during the period, resulting in a ₱466.0 million increase in outstanding borrowings.

Due to related parties

An increment of 2%, or 30 million, from 1.09 billion on December 31, 2024, to 1.12 billion on September 30, 2025, was due to additional advances from related parties to service the group's working capital requirement and payment to contractors for on-going projects.

DISCOVERY WORLD CORPORATION and SUBSIDIARIES
Aging of Trade Receivables
As of September 30, 2025

DESCRIPTION			PAST DUE			
	Amount	Current	30 days	60 days	90 days	120 days
Trade receivables	P90,975,785	P11,235,290	P5,155,278	P10,574,300	P38,655,813	P25,355,104
Less allowance for doubtful accounts	(973,536)	-	-	-	-	-
Net trade receivables	P90,002,249	P11,235,290	P5,155,278	P10,574,300	P38,655,813	P25,355,104